Pivot or Perish Simulation Debrief: Getchell's

MKTG 6110 · Team 4 · Prof. Barbara Kahn
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Introduction

When we took over Getchell's it was #1 in Brand and #2 in Experience, but it was losing money and carried $287M of debt. Eight rounds later its market value was $1.634B, up from $93.2M. We finished first in Brand and Experience, at fair value in Low Price and Frictionless, and second in revenue. The most important thing that happened, though, was in Round 1. Our first attempt fixed the finances and quietly damaged the positioning we were trying to build. We used the mulligan to start over, and after that we mostly stuck to the plan. Looking back, following the course framework did more for us than any single clever move.

Part 1: Our Team's Strategy

1. Goals and Metrics

Market value was the scorecard, and in Round 1 we treated it that way, literally. We cut costs, paid down debt and turned a loss into a small profit, and value went up 21%. We were pleased for about a day. Then we looked at the Kahn Matrix and saw that Brand and Experience had both dropped, the two areas we had said we wanted to win.

That debate changed how we defined success. We agreed that value had to come from customers, not from cutting the things customers cared about. The CLV lecture made the link concrete for us: the value of a firm is basically the value of its customer base (Kahn, 2026a).

From then on we watched four things alongside market value. The first was our quadrant scores against the fair-value line, because they told us early whether our advantage was growing. The second was CLV, which rose from $818M to $2.19B. The third was debt and WACC. WACC is the discount rate in the CLV formula, so a riskier balance sheet makes every customer worth less, and our debt went from $287M to $100M. The last was gross margin, which stayed around 36% all game and told us we weren't buying growth with discounts.

2. Targeting: STP and the 3 C's

We should be honest that we chose our quadrants before we really chose our segments.

On the customer side, shopping experience was the most valued attribute across segments, and breadth was close behind. Segment 5 gave us the most revenue and cared most about experience, but it had stopped growing. Segment 2 had the highest CLV and wanted variety, and Segments 2,

4 and 6 were the ones growing. On competition, Zephara was the only rival going after the same Brand and Experience customers we were. Cadabra owned online convenience and the big discounters owned low price. Zephara's weak spot was its narrow assortment. On our side, we started with the strongest brand in the market and a good store experience, but also with heavy debt and a losing year.

In Round 1 we couldn't settle the trade-off between Segment 5 (big, a good fit, but flat) and Segment 2 (valuable, growing, wants breadth), so we left it open. By Round 3 we were using the attractiveness-versus-fit grid. Segment 3 fit a Brand-and-Experience store best. Segment 1, the online bargain hunters, was large and growing but a poor fit, so we decided to serve them only at parity. By Round 5 the picture was clear enough to commit: Segments 2, 4 and 5 as targets because they value the in-store experience, Segment 3 as our best Brand fit, and the growing Segment 6 reached through a wider assortment. Leaving Segment 1 alone was a conscious choice.

The funny part is that Segment 1 ended up as our biggest segment anyway, growing from $65M to $201M. Those shoppers care a lot about customer service, and service turned out to be where we spent the most.

3. Creating Value for Our Target Segments

The professor's advice on the matrix was to lead one quadrant, be credible in a second and keep pace in the other two, with fair value set at 75% of the leader. Brand and Experience made sense together for us. Both are about making shopping more pleasant rather than cheaper, and Sephora is the obvious example of a retailer that wins on both.

Customer service turned out to be our most useful lever, though it took us a while to see it. It raises Experience and Frictionless at the same time; by Round 7 we estimated about 0.11 points on each for every $1M. We went from $7M in the first Round 1 to $37M by the end. Shopping experience builds up over several rounds, so we raised it steadily to $21.5M, the most in the industry, and held it there once more money stopped helping. For Brand we raised product quality from 5 to 7. We also learned the hard way in Round 5 that premium depth affects Brand: widening our everyday assortment while trimming premium depth looked like a downscale stretch, and Brand fell from 5.1 to 4.9 until we reversed it.

Online got enough money to bring Frictionless up to fair value and no more. We never touched our markups (54% and 66% for all eight rounds). We didn't want a price fight with the discounters, and we saw the premium price as part of the signal.

If we had to name a turning point, it was Round 7. Instead of adding to Brand or store experience, where we already led, we put the new money into service. It lifted two quadrants at

once and finally got Frictionless to fair value.

4. Strategy Over Time: The Kahn Matrix, Investment and Debt

Our strategy changed once, at the very start, and then stayed the same. What changed after that was how well we carried it out.

The first version of Round 1 was really a financial reset. We cut debt, inventory, stores and customer service, and value rose 21%. But on the matrix we were sliding toward the middle: Brand and Experience fell while Low Price went up, which is the "stuck between quadrants" pattern we discussed in class for mid-tier department stores. With the mulligan we kept the balance-sheet gains, put service back, raised quality and recommitted to leading Brand and Experience. The redo was worth about $184M against $113M.

In the short term we used the matrix as a checklist each round. Are we leading where we want to lead, and is anything below the fair-value line? Frictionless was the one we kept missing, and when it finally cleared the line in Round 7 our P/E went from 15.9 to 17.1. In the longer term the matrix told us what not to spend on. We never chased Low Price, so vendor management dropped from $30M to $18M over the game. It also kept reminding us that a lead doesn't hold on its own. Zephara caught up on Experience in Round 2 and rivals kept raising their spending, so we had to keep investing just to stay even. We finally passed Zephara in Round 6.

On debt, the first four rounds were about getting healthy: debt fell from $287M to $167M by Round 4 and to $100M by the end. After that we reinvested a budget that grew from $69.8M to $104.5M. We talked about "harvesting" at the end by raising prices and closing stores, and decided against it, since the market values what customers will be worth in the future.

5. Allocating Time and Money

Our rule for money was simple: fund the quadrants we wanted to win by cutting the one we didn't. Vendor management mainly drives Low Price, so it became our piggy bank, going from $30M to $18M, until we saw unit costs start to rise. We also tried not to change too many things in one round, so we could tell what had worked. In the last two rounds we kept adding money only while our projections said it was paying off. In Round 8 every extra dollar we tested lowered the projected value, so we left $3.9M unspent.

On time, we met once a week for about 75 minutes. People did their analysis before the meeting, so the meeting itself was for arguing and deciding. A shared decision log and our team website made it quick to compare plans.

6. Positioning Statement

For experience-driven, brand-conscious shoppers who value variety and good in-store service (Segments 2, 4 and 5, with Segment 3 as our strongest Brand fit), Getchell's offers the most enjoyable, best-staffed premium shopping experience, with a broad range of quality private and national brands, compared with Zephara and other multibrand specialty retailers, and with online players for convenience. Our reasons to believe: we were #1 in Brand every round after the redo, we spent more than anyone on shopping experience and service, our brand quality was at 7, and we kept all 185 stores for our loyal shoppers.

We added variety to the statement in Round 5 to separate ourselves from Zephara's narrower catalog. The depth mistake that same round taught us that variety only works if the premium shelves stay full.

Part 2: Learnings from the Game and Team Interactions

7. How We Organized

In Round 1 we were all looking at the problem the same way, as a financial problem, and nobody was really speaking for the customer. The redo was when we reorganized. Mike took on a CFO role so that someone was always pushing back on spending ideas. By Round 3 Joseph was acting as CMO, with Brian and Patrick as strategy directors working on segments and the matrix, and Abhi as COO looking for savings in the operating numbers. Brian entered our decisions each round, and the rest of us checked them.

The process settled into a pattern. The marketing side would bring one to three options, Mike would challenge them, and Abhi would check them against the operating data. CLV gave the three groups a common language, which is pretty much how the lecture described it (Kahn, 2026a).

From Round 5 we used a shared online portal. Everyone saved their own plan, we looked at them side by side, each person explained their reasoning, and then we agreed on one plan.

8. Decisions That Were Hard to Agree On

The hardest call was whether to use the mulligan at all. Our first Round 1 had gone up 21%, and some of us argued, reasonably, that market value is what we're graded on, so why throw away a good result. Others argued that falling behind in Brand and Experience would catch up with us later. We met in the middle: keep the store closures and the focus on debt, but move money from vendor management into customer service and brand quality. That version came in at about $184M versus $113M.

The second argument ran through the early rounds: how many things to change at once. Some of us wanted to move one lever at a time so we could learn what worked. Others felt that leaving budget unspent during a growth phase was a waste. We compromised by adding money only to levers we were already changing.

In Round 5 one member played devil's advocate on widening the assortment across all 185 stores, mostly because of the inventory cost. We ended up taking a small step instead of a big one.

The last disagreement was about the final rounds. One plan wanted to go big: service to $42.5M, more breadth and depth, deeper vendor cuts and reopening stores. The model liked it, but a lot of those projections were low-confidence. We decided not to bet the game on numbers we didn't trust, stayed steady on Brand and Experience, and pushed only on service.

9. The Data We Used and Ignored

Honestly, the reports overwhelmed us at first, so we fell back on what we knew: the financials. Our Round 1 plan was built almost entirely on the balance sheet, and we only looked at the segment data afterward. After the redo we turned that around.

The Kahn Matrix became our main gauge, especially the competitor movement and the fair-value line. Watching Zephara close in on Experience in Rounds 2 and 3 is what got us thinking about competitors rather than just ourselves. By Round 5 the data tab (segment size, growth, CLV and preferences) was our main reference, and it pointed us to Segments 2, 4 and 5. Abhi lived in the scorecard. Mike used the balance sheet and income statement to set limits for each round. About half our sales were online, which made us see stores less as a place to buy things and more as the experience itself.

We mostly ignored the pricing data, the markup levers and the customer analytics score. Not touching price was deliberate, since we didn't want to compete on it.

The lesson for us was that the customer and matrix data told us where market value was heading, and the financials mostly confirmed it a round later.

10. Takeaways for Going to Market

The framework works if you actually follow it. Every time we went back to the 5 C's, STP and the 4 P's, things improved, and the clearest example is the jump after the Round 1 redo.

A few things we'll take with us. An honest situation analysis shows you where your advantage really is. Ours was Brand and Experience, and heavy investment in service ended up helping a third quadrant too. Every part of the marketing mix has to support the position: cutting service and stores in Round 1 made the numbers look better while undermining exactly what we wanted

to be known for. Customers are assets. Keeping all 185 stores and never discounting were really decisions about retention, the biggest driver of CLV. A lead only lasts if you keep paying for it, because competitors keep improving, but piling more money into an area you already lead gets less and less back. And small tests beat big bets. The changes we could measure taught us the most, and in the end discipline beat the big final swing.

Our segments shifted over the game, but our focus on our strengths didn't, and that consistency is probably the main reason we did well.

[Each member: add one real example from your own work, e.g., a time cost-cutting removed something customers valued.] For us, the practical lesson is to protect the parts of the business customers actually notice, and to test a change before betting on it.

References

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